Week 1

Introduction to Entrepreneurship



Dr Viet Le

SWINBURNE UNIVERSITY OF TECHNOLOGY



SWINBURNE UNIVERSITY OF TECHNOLOGY

Acknowledgement of Country

We respectfully acknowledge the Wurundjeri People of the Kulin Nation, who are the Traditional Owners of the land on which Swinburne's Australian campuses are located in Melbourne's east and outer-east, and pay our respect to their Elders past, present and emerging.

We are honoured to recognise our connection to Wurundjeri Country, history, culture, and spirituality through these locations, and strive to ensure that we operate in a manner that respects and honours the Elders and Ancestors of these lands.

We also respectfully acknowledge Swinburne's Aboriginal and Torres Strait Islander staff, students, alumni, partners and visitors.

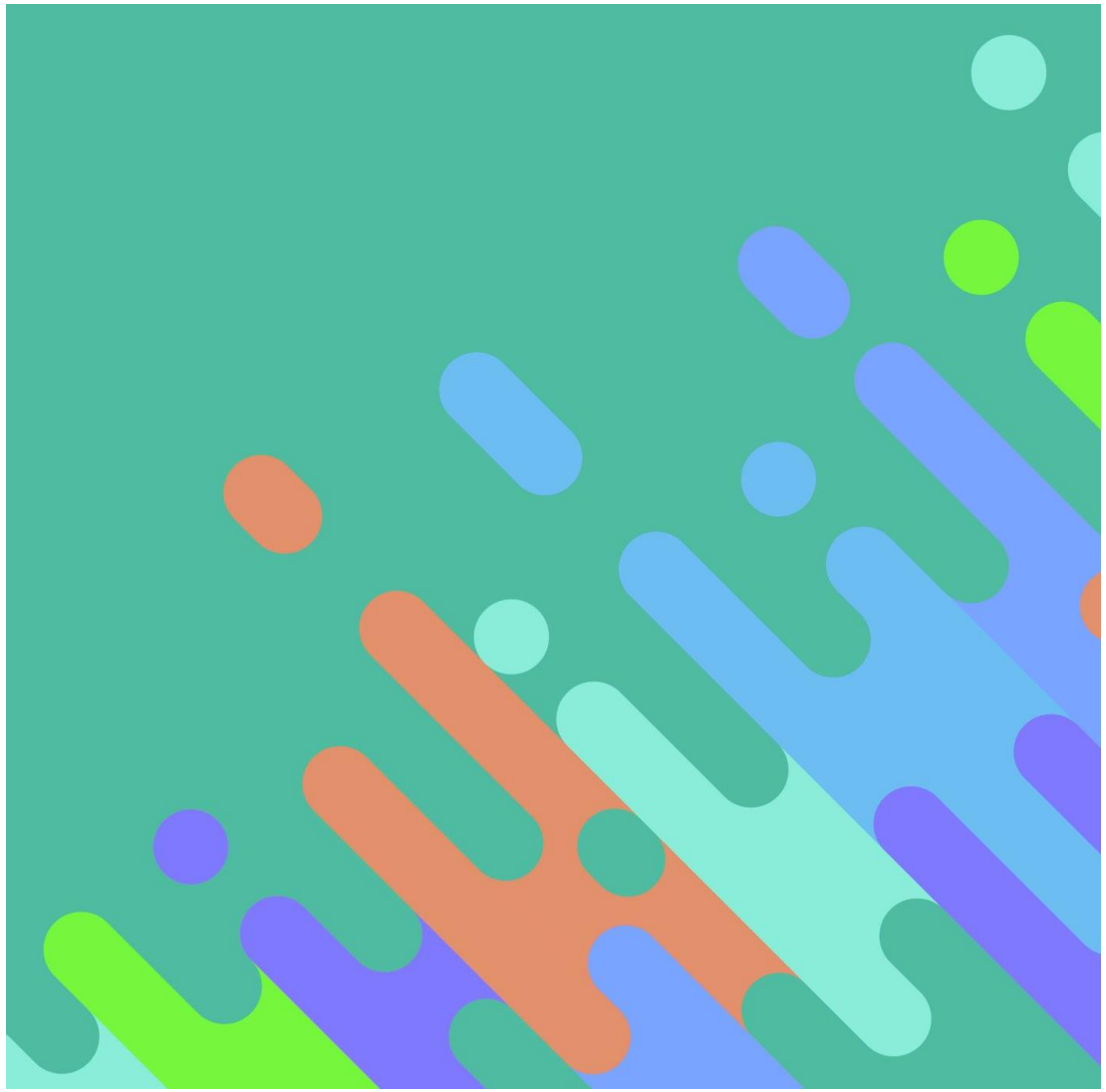
We also acknowledge and respect the Traditional Owners of lands across Australia, their Elders, Ancestors, cultures, and heritage, and recognise the continuing sovereignties of all Aboriginal and Torres Strait Islander Nations.



SWINBURNE UNIVERSITY OF TECHNOLOGY

Learning Objectives

- Describe entrepreneurship, corporate entrepreneurship, and the characteristics of entrepreneurial firms.
- Discuss three main reasons people decide to become entrepreneurs.
- Identify four main characteristics of successful entrepreneurs.
- Describe the three types of startup firms.
- Discuss the positive effects of entrepreneurship and entrepreneurial firms on economies and societies.
- Explain the entrepreneurial process.

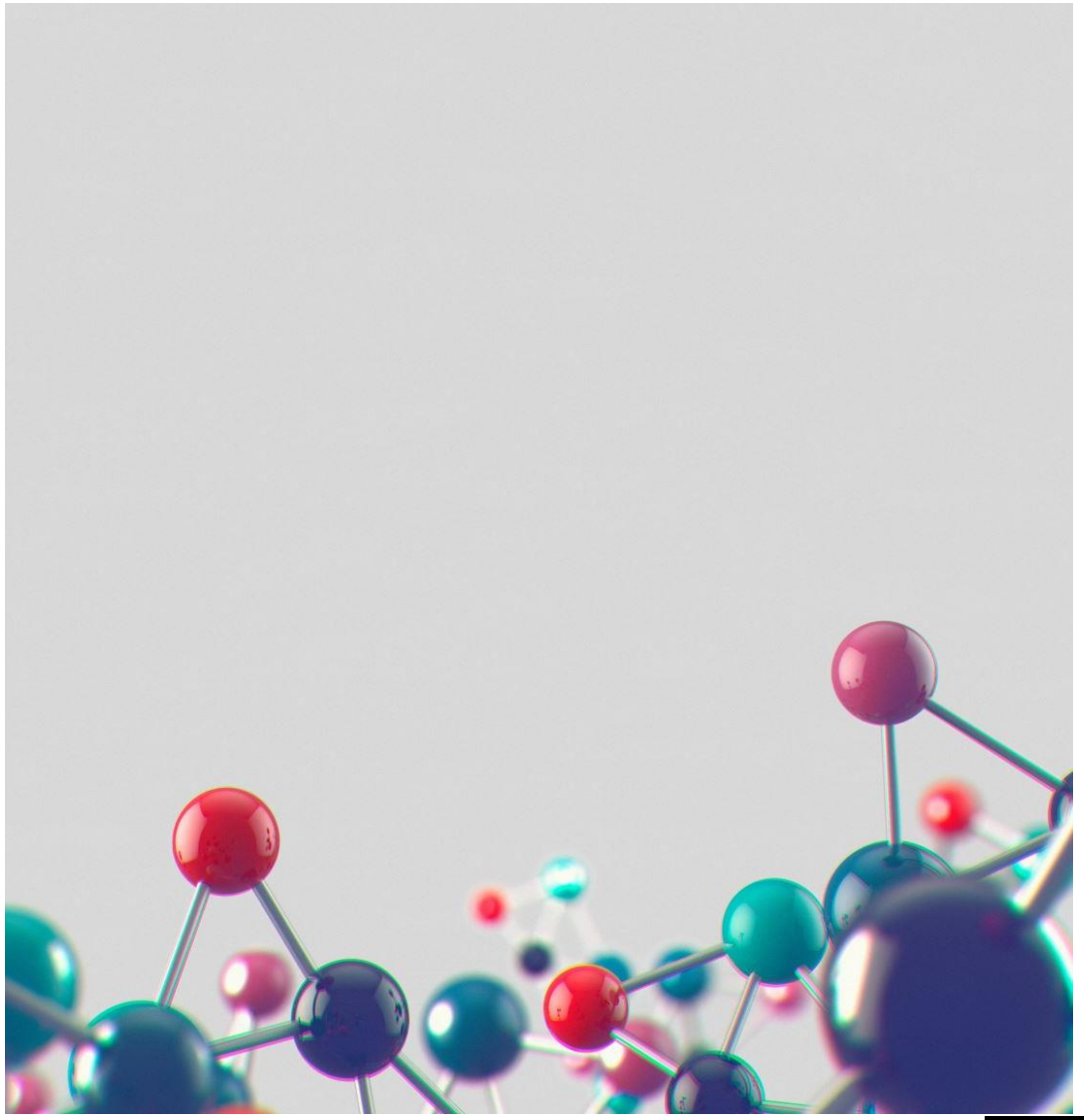


SWINBURNE UNIVERSITY OF TECHNOLOGY

Introduction to Entrepreneurship

- **There is tremendous interest in entrepreneurship in Australia and around the world.**
  - *Australian market research company McCrindle Research found that four in five Generation Z-ers' (79 per cent) ideal working situation was a business they started themselves, showing the generation's strong entrepreneurial spirit.*
  - *Only 56 per cent of broader Australians share this preference.* ABC (2024):

- One out of every six American adults is engaged actively in starting a business or is the owner/manager of a business that is less than three-and-a-half-years old (GEM Study).



SWINBURNE UNIVERSITY OF TECHNOLOGY

Introduction to Entrepreneurship

Books:

Amazon.com lists over 30,000 books about entrepreneurship, 60,000 focused on business startups, and over 100,000 books concerned with small businesses.

SWINBURNE UNIVERSITY OF TECHNOLOGY

Introduction to Entrepreneurship

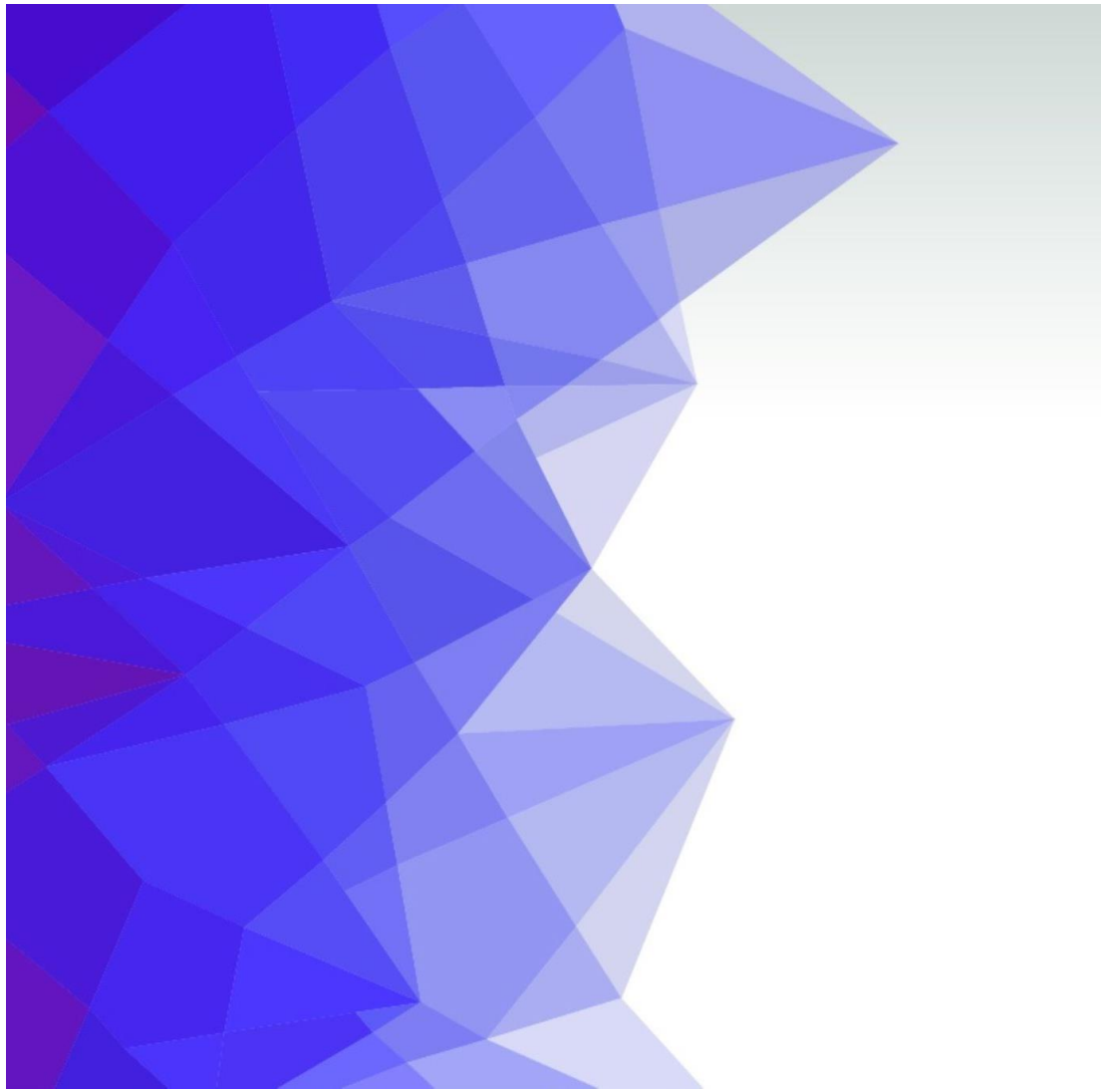
- Having a motivation to start and run a business is not enough
  - Also need:
    - A solid business idea
    - Good financial management
    - Effective execution



SWIN BUR NE
SWINBURNE UNIVERSITY OF TECHNOLOGY

What Is Entrepreneurship?

- Entrepreneurship is the process by which individuals pursue opportunities without regard to resources they currently control.
  - Entrepreneurs assemble and then integrate all the resources needed—the money, the people, the business model, the strategy—to transform an invention or an idea into a viable business.



SWINBURNE UNIVERSITY OF TECHNOLOGY

What Is Entrepreneurship?

- Corporate Entrepreneurship
  - Is the conceptualization of entrepreneurship at the firm level.
    - All firms fall along a conceptual continuum that ranges from highly conservative to highly entrepreneurial.
      - The position of a firm on this continuum is referred to as its entrepreneurial intensity.



SWINBURNE UNIVERSITY OF TECHNOLOGY



What Is Entrepreneurship?

- **Entrepreneurial Firms**
  - Proactive
  - Innovative
  - Risk taking

Conservative Firms

- Take a more “wait and see” posture
- Less innovative
- Risk averse

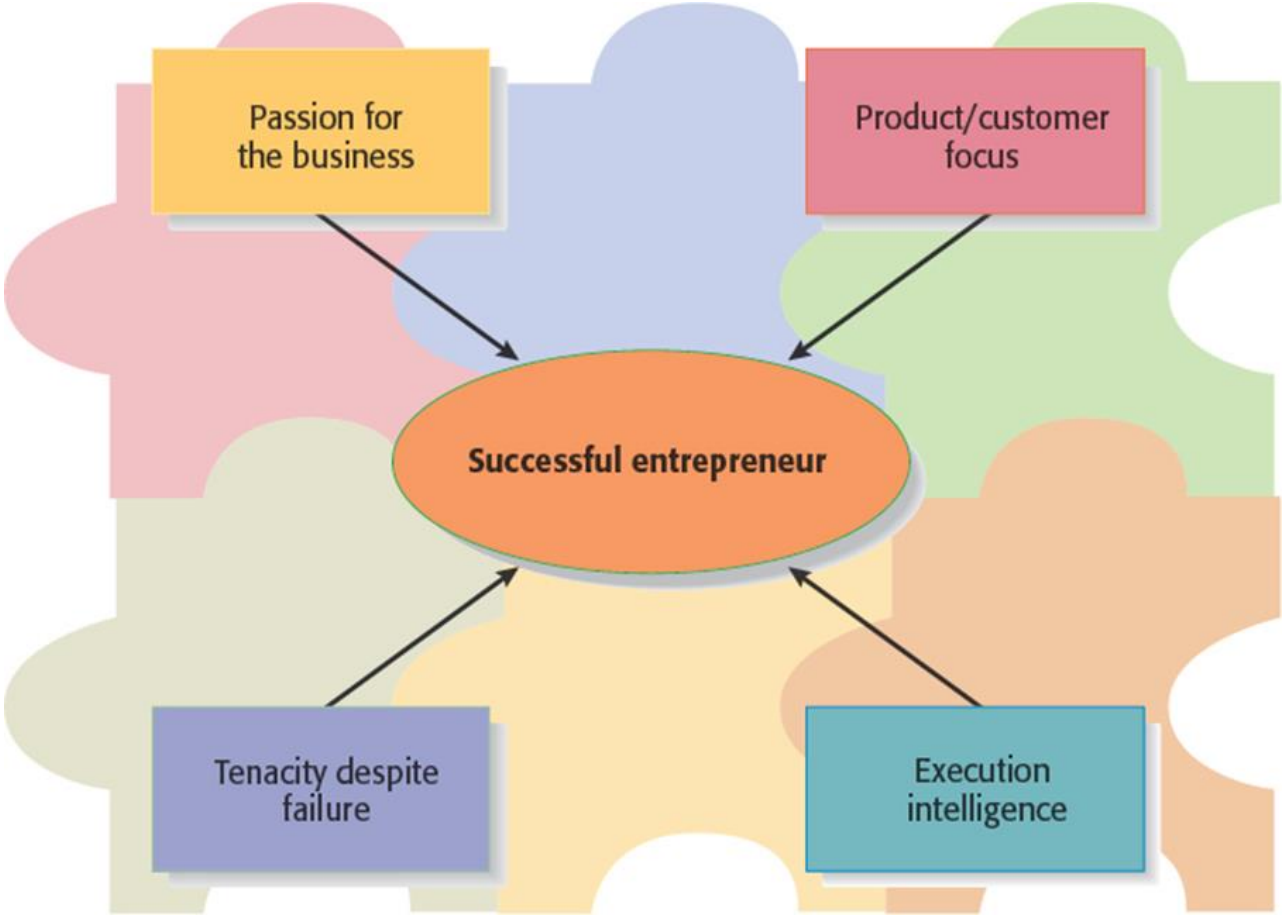
SWINBURNE UNIVERSITY OF TECHNOLOGY

Why Do People Become Entrepreneurs?

- The three primary reasons that people become entrepreneurs and start their own firms are the following.
  - Desire to be their own boss
  - Desire to pursue their own ideas
  - Pursue financial rewards



Four Primary Characteristics of Successful Entrepreneurs



SWINBURNE UNIVERSITY OF TECHNOLOGY



Characteristics of Successful Entrepreneurs

- **Passion for the Business**
  - The number one characteristic shared by successful entrepreneurs is a passion for the business.
  - This passion typically stems from the entrepreneur's belief that the business will positively influence people's lives.
- **Product/Customer Focus**
  - A second defining characteristic of successful entrepreneurs is a product/customer focus.
  - An entrepreneur's keen focus on products and customers—need to have good products that will satisfy customers.

SWINBURNE UNIVERSITY OF TECHNOLOGY

Characteristics of Successful Entrepreneurs

- **Tenacity Despite Failure**
  - Because entrepreneurs are typically trying something new, the failure rate is naturally high.
  - A defining characteristic for successful entrepreneurs is their ability to persevere through setbacks and failures.
- **Execution Intelligence**
  - The ability to fashion a solid business idea into a viable business is a key characteristic of successful entrepreneurs.

SWINBURNE UNIVERSITY OF TECHNOLOGY

Common Myth About Entrepreneurs

- **Entrepreneurs Are Born, Not Made**
  - This myth is based on the mistaken belief that some people are genetically predisposed to be entrepreneurs.
  - The consensus of many studies is that no one is “born” to be an entrepreneur; everyone has the potential to become one.
  - Whether someone does or doesn’t become an entrepreneur is a function of their environment, life experiences, and personal choices.

SWINBURNE UNIVERSITY OF TECHNOLOGY

Common traits and characteristics of successful entrepreneurs

Although no one is “born” to be an entrepreneur, there are common traits and characteristics of successful entrepreneurs.

- A moderate risk taker
- Persuasive
- Promoter
- Resource assembler/leverager
- Creative
- Self-starter
- Tenacious
- Tolerant of ambiguity
- Visionary
- Optimistic disposition
- A networker
- Achievement motivated
- Alert to opportunities
- Self-confident
- Decisive
- Energetic
- A strong work ethic
- Lengthy attention span

SWINBURNE UNIVERSITY OF TECHNOLOGY

Types of Startup Firms

Salary-Substitute Firms

Firms that basically provide their owner or owners a similar level of income to what they would be able to earn in a conventional job

Lifestyle Firms

Firms that provide their owner or owners the opportunity to pursue a particular lifestyle, and make a living at it

Entrepreneurial Firms

Firms that bring new products and services to the market by creating and seizing opportunities regardless of the resources they control currently

SWINBURNE UNIVERSITY OF TECHNOLOGY

The Positive Effects of Entrepreneurship and Entrepreneurial Firms



Impact on Society

The innovations of entrepreneurial firms have a dramatic impact on society.

- Think of all the new products and services that make our lives easier, enhance our productivity at work, improve our health, and entertain us.



Impact on Larger Firms

Many entrepreneurial firms have built their entire business models around producing products and services that help larger firms become more efficient and effective.

SWINBURNE UNIVERSITY OF TECHNOLOGY



The Entrepreneurial Process

The Entrepreneurial Process Consists of Four Steps

- **Step 1:** Decision to become an entrepreneur
- **Step 2:** Developing successful business ideas
- **Step 3:** Moving from an idea to an entrepreneurial firm
- **Step 4:** Managing and growing the entrepreneurial firm

SWINBURNE UNIVERSITY OF TECHNOLOGY

Thank you

